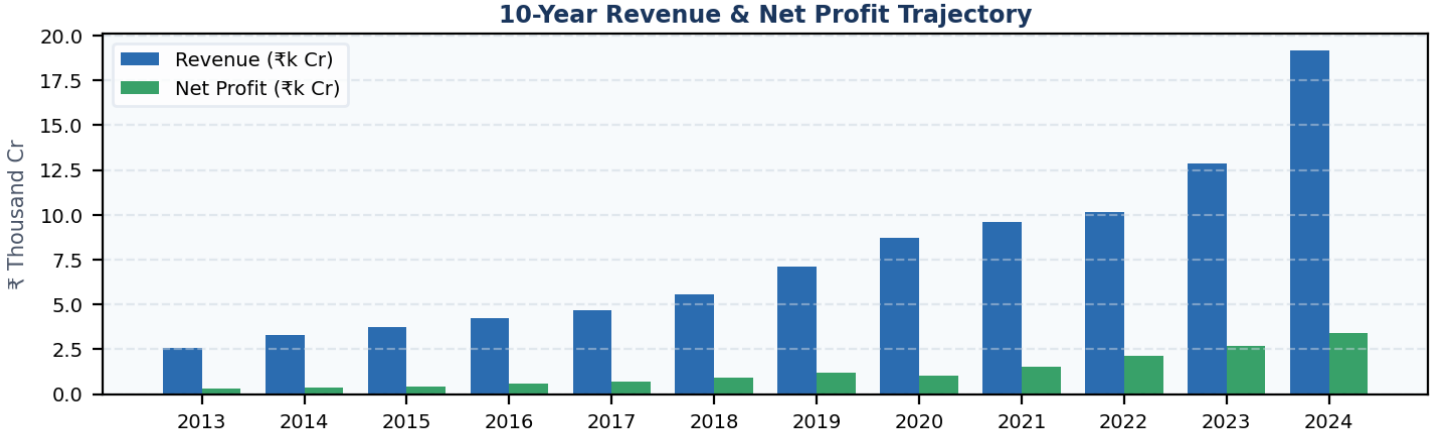
Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

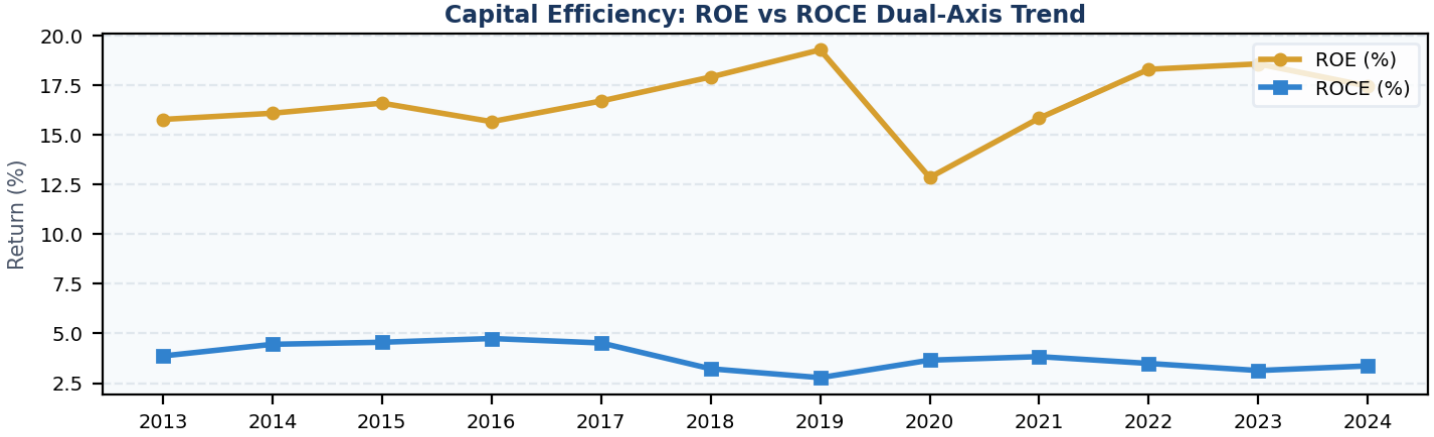
Sector: **Financials** | Sub-Sector: **Consumer Finance** | Nifty 100

MARKET CAP	P/E RATIO	RETURN ON EQUITY
■971,932 Cr	16.8x	17.5%
ROCE	**DEBT TO EQUITY**	**5Y REVENUE CAGR**
3.4%	6.86x	21.9%

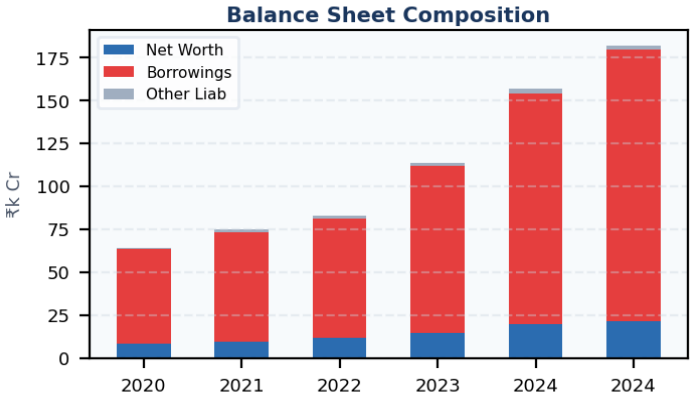
10-Year Revenue & Net Profit Trajectory

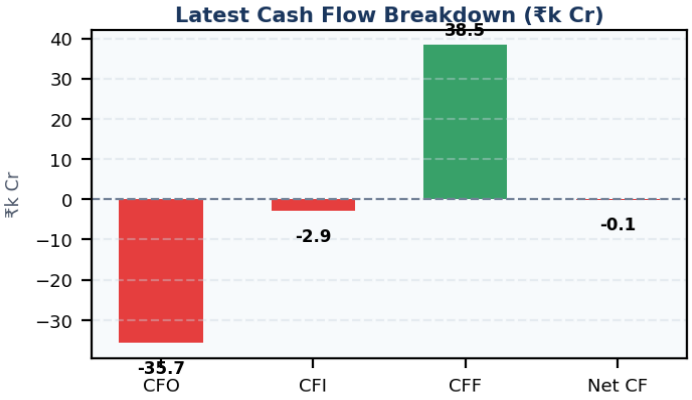


Capital Efficiency: ROE vs ROCE Dual-Axis Trend



Capital Allocation Pattern: Distress Raising Capital





Key Strengths & Growth Drivers (Pros)

- **[+]** Revenue growing at above 15% CAGR over 5 years reflects strong business momentum
- **[+]** Operating profit margin above 25% indicates strong pricing power and cost discipline
- **[+]** Net profit compounding at above 20% over 5 years creates significant shareholder value

Risk Factors & Key Concerns (Cons)

- **[-]** Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- **[-]** Operating margins declining for 3 consecutive years suggest pricing or cost pressure
- **[-]** Rising debt-to-equity ratio over 3 years suggests increasing financial leverage risk